

ANALYST ZONE

AAKASH SHARMA



FUNDAMENTAL ANALYSIS



TERMINOLOGYS

UNDERVALUED STOCKS

An undervalued stock is defined as a stock that is selling at a price significantly below what is assumed to be its intrinsic value.

For example, if a stock is selling for \$50, but it is worth \$100 based on predictable future cash flows, then it is an undervalued stock.

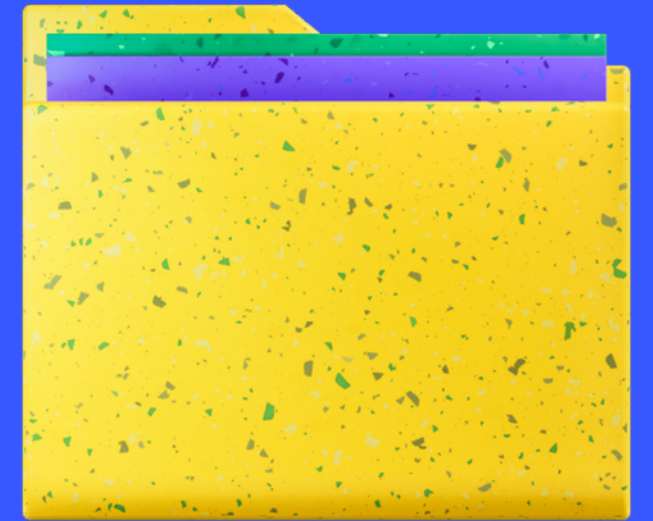
OVER VALUED STOCKS

An overvalued asset is an investment that trades for more than its intrinsic value.

For example, if a company with an intrinsic value of \$7 per share trades at a market value \$13 per share, it is considered overvalued.

DIVIDEND YIELD %

very important to know , high is good or bad?



The dividend yield, expressed as a percentage, is a financial ratio (dividend/price) that shows how much a company pays out in dividends each year relative to its stock price.

FORMULA

**Dividend Yield= Price Per
Share
/Annual Dividends Per
Share**

Develop Shareholders' Trust
Influence Institutional Investors
Future Prospects
Equity Evaluation
Market Value Stability of Shares
Market for Preference Shares and Debentures
Degree of Control
Raising of Surplus Funds
Tax Advantage

**Importance
of Dividend
Policy**

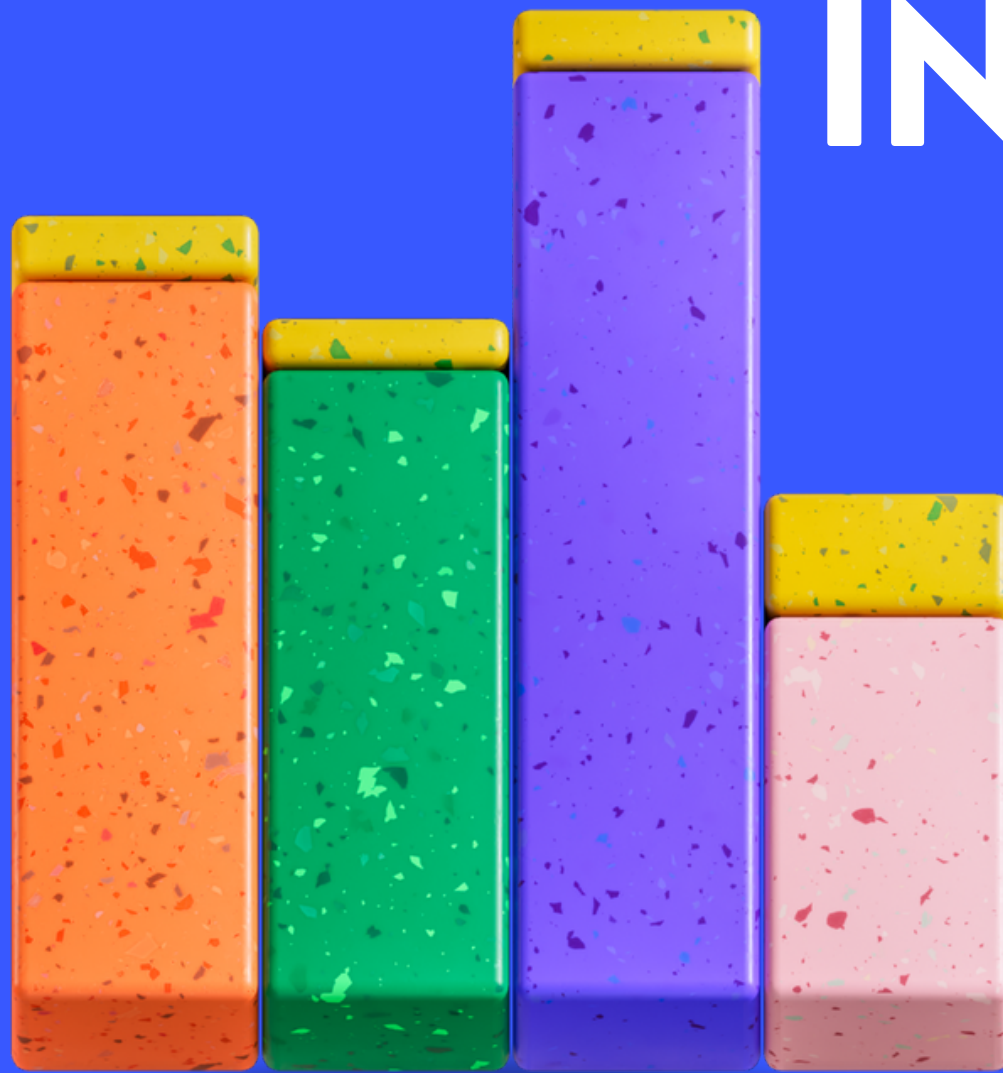
DIVIDEND EXAMPLE {READ CAREFULLY}

- **POSUPPOSE COMPANY A'S STOCK IS TRADING AT \$20. AND PAYS ANNUAL DIVIDENDS OF \$1 PER SHARE TO ITS SHAREHOLDERS.**

SUPPOSE THAT COMPANY B'S STOCK IS TRADING AT \$40 AND ALSO PAYS AN ANNUAL DIVIDEND OF \$1 PER SHARE.

- **THIS MEANS COMPANY A'S DIVIDEND YIELD IS 5% ($\$1 / \20), WHILE COMPANY B'S DIVIDEND YIELD IS ONLY 2.5% ($\$1 / \40). ASSUMING ALL OTHER FACTORS ARE EQUIVALENT, AN INVESTOR LOOKING TO USE THEIR PORTFOLIO TO SUPPLEMENT THEIR INCOME WOULD LIKELY PREFER COMPANY A OVER COMPANY B BECAUSE IT HAS DOUBLE THE DIVIDEND YIELD.**

SOLVENT AND INSOLVENT



SOLVENT= ASSET - LIABILITY
 $100,000 - 50,000 = 50,000$



INSOLVENT= ASSET - LIABILITY
 $100,000 - 130,000 = 30,000$



3 important things in fundamentals analysis

INCOME STATEMENT

BALANCESHEET

CASH FLOW

Total Revenue

Total Assets

Net Change in Cash

Net Income

Total Liabilities

Capital Expenditures

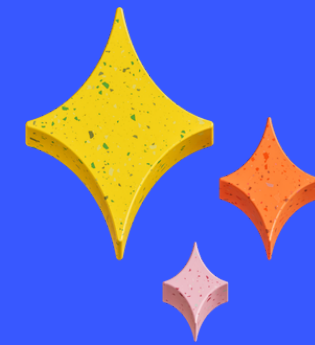
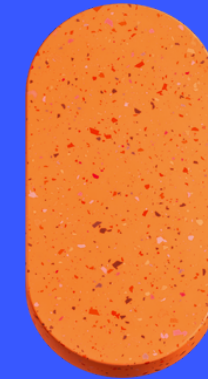
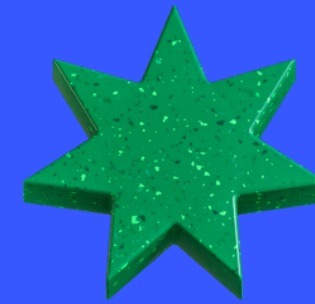
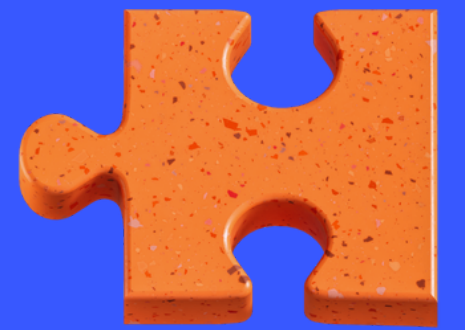
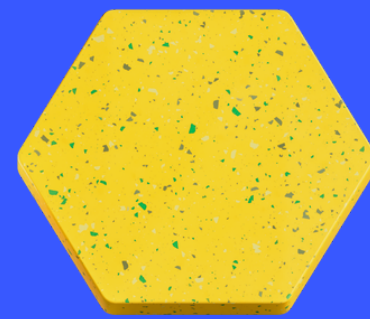
EPS

Free Cash Flow

GROWTH

1 YEAR

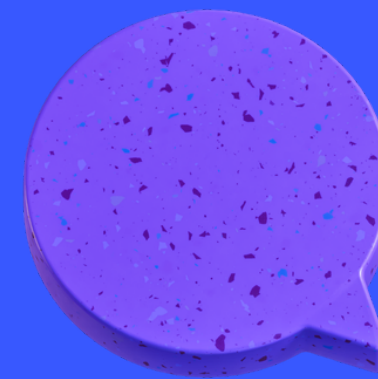
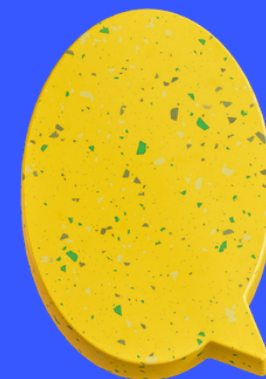
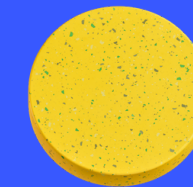
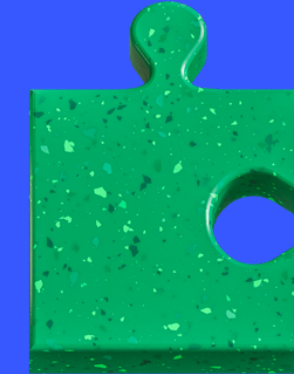
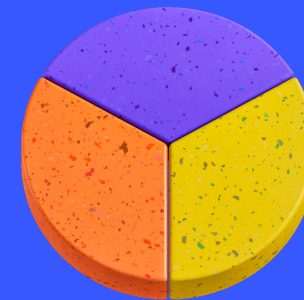
5 YEAR



RATIOS

PE RATIO

PB RATIO



SOFTWARE NAME

FOR DOING FUNDAMENTAL ANALYSIS



1

TICKERTAPE

2

SCREENER

CONNECT US;

WHATAPP- 9324845650



GMAIL-

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THANK YOU

- **BE UNSTOPPABLE. ...**

